

through a combination of large operating losses followed by a reduction in capital to wipe out the consequent balance sheet deficit.

Examples: In Chap. 38 we refer to an extraordinary example of this kind, *viz.*, the Interborough-Metropolitan case. Here the stated capital was reduced by stockholders' action to eliminate a huge profit-and-loss deficit. Following this action, earnings of a distinctly temporary character were disbursed in dividends, instead of being conserved for the benefit of the bondholders, who later suffered a tremendous loss. To effect the capital reduction under the laws then existing, a "merger" with a dummy corporation was resorted to. The same artifice has been used several times since in connection with recapitalization schemes, *e.g.*, Central Leather Company in 1926 and Kelly-Springfield Tire Company in 1932.

As the result of losses sustained during the depression of the 1930s numerous reductions of capitalization have been voted by the stockholders. These actions have been taken without consulting the bondholders. Most of such reductions have been effected by changes from no-par shares to shares of a low par value. Frequently this has been accompanied by write-offs of intangible assets or mark-downs of fixed assets. Such write-downs of asset values on one side of the balance sheet and capital on the other are of no special significance from the bondholders' standpoint, except possibly in the fact that they may permit unduly low depreciation charges and therefore unduly liberal dividend payments. But in most of these cases a substantial sum also has effectively been transferred from capital to surplus and thus made available to absorb future operating losses and to facilitate the resumption of dividends before past losses have been made up.

For example, Remington Rand, Inc., changed its common stock from no par to \$1 par and thereby, together with cancellation of shares held by the company itself, reduced the stated value of the common from \$17,133,000 to \$1,291,000. It applied \$7,800,000 of this reduction to write down its intangible assets, \$2,300,000 additional to mark down its plant account, and \$400,000 for miscellaneous write-downs and reserves. This left about \$5,350,000 actually transferred from capital to surplus. In the same manner the par value of Lexington Utilities \$6 Preferred Stock was reduced in 1935 from \$100 to \$25 per share, with no change in dividend or other significant rights and for the sole purpose of eliminating a capital deficit and permitting the resumption of preferred dividends. This action